UNLIKE LAST TIME, WHEN DE-MO WAS UNLEASHED TO WEED OUT BLACK MONEY, THE Rs 2,000 NOTE WAS ALREADY DISAPPEARING

notes following demonetisation had raised doubts on their large-scale usage among the public. "When Rs 2,000 notes were brought in, it appeared to be an anomaly," says Madan Sabnavis, chief economist with the Bank of Baroda. Moreover, the whole idea of demonetisation was purportedly to weed out black money, "because it was believed that black money resided in Rs 500 and Rs 1,000 notes". That does not seem to be the case this time around. "The RBI had stopped printing it after 2018-19, which means that in the normal course too, Rs 2,000 notes were disappearing," says Sabnavis. People who used the Rs 2,000 note in large numbers used it for specific purposes such as buying land, jewellery or for marriages. In such cases, the Rs 2,000 notes came in handy for large-volume transactions, although sometimes the money being used was unaccounted-for. It is unlikely, however, that the withdrawal of Rs 2,000 notes will leave these needs unmet; people are likely to use currency of other denominations for their purposes.

Several experts believe that frequent disruptions in the denominational hierarchy of currencies could affect liquidity and the currency's role as a stable medium for the circulation of goods and services. What the RBI needs to do immediately, though, is to make it clear what the status of the Rs 2,000 note will be post September 30, so that the public knows what to expect and act accordingly. Making it easier to exchange and deposit these notes with banks by raising the present limits will go a long way in easing the entire process of withdrawing notes of Rs 2,000 denomination. ■

▼ **FACES OF FRANCHISE** The Muslim electorate is no longer voting en bloc in Uttar Pradesh





GETTY IMAGES

MUSLIMS IN UP

A VOTE DIVIDED

By Prashant Srivastava

The results of the recently held local body elections held a key lesson for the Opposition in BJP-ruled Uttar Pradesh. That, no single party can take the Muslim vote for granted, as the community is no longer voting as a monolithic bloc.

The Muslim electorate, which comprises 20 per cent of the state's population, is believed to have helped the Samajwadi Party (SP) and its allies corner a 36 per cent vote share in the 2022 assembly election. And the community remains a significant bloc vote bank for any party fancying its chances to dislodge the Bharatiya Janata Party from the numero uno spot in UP's political arena.

But in the local body polls held in the first half of May, the SP came in for a rude shock as it lost all 17 mayoral seats and exhibited a lacklustre performance in the nagar palika and nagar panchayat elections. Infinitely worrying for the state's principal opposition party is the fact that even in minority-dominated districts like Moradabad, Saharanpur, Meerut and Rampur, it failed to make a mark. In fact, in the mayoral contest in Moradabad—an SP bastion where Muslims account for 45 per cent of the population—it was relegated to fourth position behind the BJP (which won all the mayoral seats), Congress and the Bahujan Samaj Party (BSP). In Saharanpur, where SP chief Akhilesh Yadav had taken out a roadshow for the party candidate, BSP was the runner-up, while the Congress nominee grabbed the second spot in Shahjahanpur.

The SP's misfortunes do not end there. It also lost the May 10 bypoll in the Suar assembly seat, where Muslims are in excess of 50 per cent of the population. (The seat fell vacant after SP legislator Abdullah Azam Khan was disqualified in February.) The winner, Shafeek Ahmed Ansari, belongs to BJP ally Apna Dal (Sonelal). Even the local body polls results show that the BJP is making inroads in Muslim-majority areas. It fielded 395 Muslim candidates, of whom "more than 70 won", claim party leaders. "Now, Muslims have started believing in our slogan of '*Sabka saath, sabka*